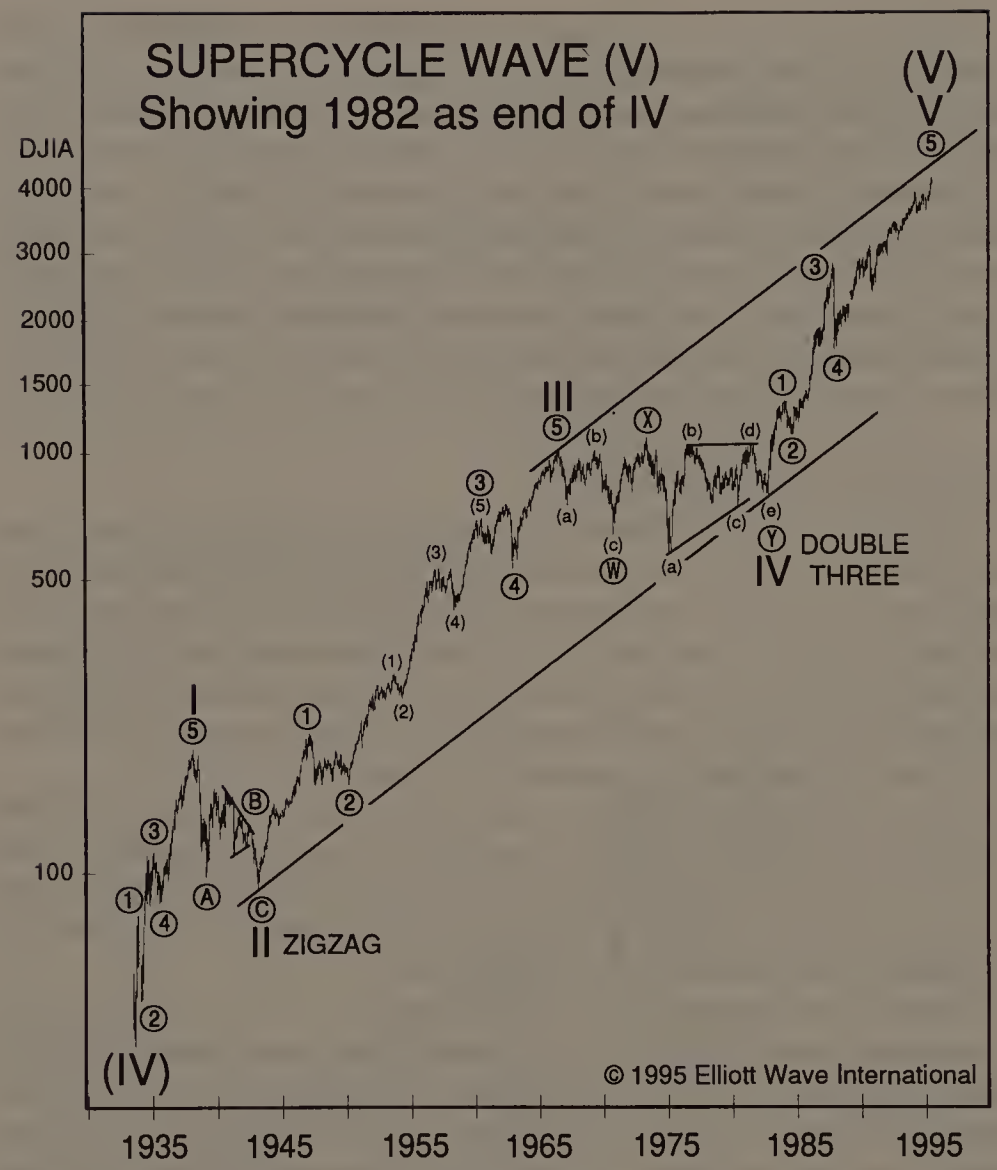

Figure 2-7

UPSIDE POTENTIAL

The Dow Jones Industrial Average is swiftly approaching a cluster of trendlines representing resistance at three degrees of trend: Primary, Cycle and Supercycle. The resistance lines in Figures 2-7 and 2-8 and the lower resistance line in Figure 2-6 converge in the third quarter of 1995 in the 4600s-4700s, while the line in Figure 2-5 (allowing for a throw-over to balance the throw-under in 1982) suggests a 1995 peak in the 5200-5500 range. The Dow Jones Trans-